IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.301
CA(CAA)/26(AHM)2023

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

S B FIBRES PVT LTD **.....Applicants**
(Transferor Co.)
Rainbow Packaging Pvt Ltd
(Transferee Co.)

Order delivered on 25/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD- -SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMADABAD BENCH
COURT– II

CA (CAA)/26(AHM)/2023

[Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of:

S B Fibres Private Limited

A company incorporated under the provisions of the Companies Act, 1956 (CIN: U17110GJ1988PTC010497)
Having its registered office situated at 302, N R House, Ashram Road, Ahmedabad- 380009, Gujarat

.. Applicant Company No.1/
(Transferor Company)

Rainbow Packaging Private Limited

A company incorporated under the provisions of the Companies Act, 1956 (CIN: U25200GJ1986PTC008506)
Having its registered office situated at 15/B, Changodar Industrial Estate, Sarkhej-Bavla Highway, Changodar, Tal-Sanand, Ahmedabad

..Applicant Company No.2/
(Transferee Company)

CORAM:

HON'BLE SHRI SHAMMI KHAN,
MEMBER (JUDICIAL)

HON'BLE AJAI DAS MEHROTRA,
MEMBER (TECHNICAL)

For the Applicant: Mr. Ashish Shah,PCA

O R D E R

1) The present joint Application is filed by S. B. Fibers Private Limited and Rainbow Packaging Private Limited (Applicant Companies) under Section 230-232 with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "the Act") read with the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016. By this application, the Applicant Companies are seeking dispensation of the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors, in respect of the scheme of Amalgamation of S.B. Fibers Private Limited ('the Transferor Company') with Rainbow Packaging ('the Transferee Company') and their respective shareholders and creditors ('the Scheme') with effect

from the appointed date i.e. 01st April, 2022, as per features set out in the Scheme annexed with the application in accordance with Section 230 to 232 of the Companies Act, 2013.

2) It is submitted that the registered office of both the applicant companies are situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat, which are falling under the jurisdiction of this Tribunal.

3) It is submitted that the Transferee Company having CIN U25200GJ1986PTC008506 is incorporated on 25th February 1986 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "Rainbow Packaging Private Limited" and the certificate of incorporation is annexed with the application. The registered office is situated at 15/B, Changodar Industrial Estate, Sarkhej-Bavla Highway, Changodar, Tal-Sanand, Ahmedabad. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as of 31.03.2022 is as

follows: -

AUTHORISED SHARE CAPITAL	AMOUNT IN RS.
1,50,000 equity shares of INR 100 each	1,50,00,000
Total	1,50,00,000

ISSUED, SUBSCRIBED AND PAID UPSHARE CAPITAL	AMOUNT IN RS.
1,23,363 equity shares of INR 100 each	1,23,36,300
Total	1,23,36,300

4) It is submitted that the Transferor Company having CIN U17110GJ1988PTC010497 is incorporated on 25th March 1988 under the provisions of the Companies Act, 1956 with the ROC, Gujarat with the name "S B FIBRES PRIVATE LIMITED" and the certificate of incorporation is annexed with the application. The registered office is situated at 302 N R House, Ashram Road, Ahmedabad, Gujarat – 380 009. The Authorized Share Capital and Issued, Subscribed and Paid-up Share Capital as on 31.03.2022 is as follows:-

AUTHORISED SHARE CAPITAL	AMOUNT IN RS.
5,00,000 equity shares of INR 10 each	50,00,000
Total	50,00,000

ISSUED, SUBSCRIBED AND PAID UPSHARE CAPITAL	AMOUNT IN RS.
5,00,000 equity shares of INR 10 each	50,00,000
Total	50,00,000

5) The Applicant Companies are empowered by their respective Memorandum and Articles of Association to enter into the Scheme of Amalgamation. Copies of the Memorandum and Articles of Association of both the Applicant Companies are annexed with the application. The copies of Audited Financial Statements of both the Applicant Companies as on 31.03.2022 are annexed with the application.

6) The Board of Directors of both the Applicant Companies have approved the Scheme at their respective Board Meetings held on 23rd January, 2023. Copies of the Board Resolutions passed on 23rd January, 2023 of the respective Applicant

Companies are placed on record. The Appointed Date of the Scheme is 1st April, 2022.

7) As per clause 5 of the Scheme, on approval of this Scheme of Amalgmation "1 (One Equity Share of the face value of Rs. 100/- each as fully paid up of Rainbow Packaging Private Limited (Transferee Company) shall be issued for every 32 (Thirty-two) Equity Shares of face value of Rs. 10/- each held in S B Fibres Private Limited (Transferor Company).

8) Both the Applicant Companies have filed the certificates from the respective Statutory Auditors confirming the proposed Accounting Treatment being in conformity with the applicable accounting standards u/s. 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014.

9) It is submitted that no investigation or proceedings under Sections 235 to 251 of the Companies Act, 1956 as well as Sections 210 to 226 of the Companies Act, 2013 are instituted or are pending

against the Applicant Companies.

10) It is submitted that the provisions of the Competition Act, 2002 are not applicable to the present Scheme and hence no notice is required to be served on the Competition Commission of India.

11) It is further submitted that no notice is required to be served to the Reserve Bank of India as provisions of the FEMA Act are not attracted in the present Scheme of Amalgamation as there are no new shares being allotted to any non-resident.

12) A Copy of the Valuation Report recommending Equity Share Exchange ratio obtained from registered Valuer Mr. Shah Darshil Rajeshbhai (Registered number IBBI/RV/06/2019/11593 is placed on record.

13) Accounts as on 31st March, 2022 and provisional balance sheet for the period ended on 31" December, 2022 are annexed with the application. The rationale of the Scheme is consolidation of the business operations undertaken by the companies. The Board of Directors of the said Companies

propose, by way of this Scheme, to amalgamate the Transferor Company with the Transferee Company in accordance with the terms of the Scheme. The amalgamation of the Transferor Company with the Transferee Company would inter-alia have the following benefits.

i. The amalgamation will result in reduction in overheads, administrative, managerial and other expenditure, and optimal utilization of various resources due to consolidation of activities.
ii. Greater efficiency in cash management of the Transferee entity.
iii. The Scheme shall be beneficial and in the best interests of the shareholders and creditors of the Transferor Companies and the Transferee Company and all concerned.
iv. Diversification in the Business vertical of the Transferee Company.
v. Benefit of higher marginal growth of all the stakeholders of the Transferor Company as well as Transferee Company.
vi. The Transferee Company will have benefit of the combined assets and resources of the Transferor Company. The combined resources will enhance its capability to expand and increase its market share more effectively.

vii. The proposed amalgamation will create enhanced value for shareholders and allow a focused strategy in operations, which would be in the best interest of all its shareholders, creditors and all persons connected with the Company.

The Board of Directors of the Transferor Company and Transferee Company have considered and proposed the amalgamation of the entire business of the Transferor Company with the Transferee Company and have formulated this Scheme of amalgamation in terms of the provisions of Section 230-232 of the Company Act, 2013.

14) With respect to the Transferee Company, it is stated that:-

a. There are 10 (Ten) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There are 3 (Three) Secured Creditors and a

certificate from the Chartered Accountant certifying the list of secured creditors is annexed with the application. All the Secured Creditors have given their consent by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Secured Creditors;

c. There are 17 (Seventeen) Unsecured Creditors and a certificate from a Chartered Accountant certifying the list of Unsecured creditors is annexed with the application. All the Unsecured Secured Creditors have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Unsecured Secured Creditors.

15) With respect to the Transferor Company, it is stated that:-

a. There are 6 (Six) equity shareholders and a certificate from the Chartered Accountant certifying the list of shareholders is annexed with the application. All the equity shareholders have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the

Company is seeking dispensation for holding the meeting of Equity Shareholders;

b. There is no secured creditor and a certificate from the Chartered Accountant certifying that there is Nil secured creditor is annexed with the application. Therefore, meeting of Secured Creditors is not required to be convened and held.

c. There is 1 (One) Unsecured Creditors and a certificate from the Chartered Accountant certifying the list of Unsecured Creditors is annexed with the application. All the Unsecured Secured Creditors have given their consents by way of affidavits for the proposed Scheme, which are annexed with the application. Hence, the Company is seeking dispensation for holding the meeting of Unsecured Secured Creditors.

16) Taking into consideration the submissions and documents filed therewith, we issue the following directions with respect to convening or dispensing the meeting of Equity Shareholders, Secured/Unsecured Creditors as well as the issue of notices:

(i) <u>In relation to the Transferee Company</u>

a) With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the Company is hereby dispensed with, in view of 100% consent affidavits received from shareholders.

b) With respect to Secured Creditors:

Convening of the meeting of Secured Creditors of the Company is hereby dispensed with, in view of 100% consent affidavits received from secured creditors.

c) With respect to Unsecured Creditors:

Convening of the meeting of Unsecured Creditors of the Company is hereby dispensed with, in view of 100% consent affidavits received from Unsecured Creditors.

(ii) In relation to the Transferor Company:

a) With respect to Equity Shareholders:

Convening of the meeting of equity shareholders of the Company is hereby dispensed with, in view of 100% consent affidavits received from shareholders.

b) With respect to Secured Creditors:

Convening of the meeting of Secured Creditors

of the Company is not required as Company has Nil Secured Creditors.

c) With respect to Unsecured Creditors:

Convening of the meeting of Unsecured Creditors of the Company is hereby dispensed with, in view of 100% consent affidavits received from Unsecured Creditors.

17) In compliance of sub-section (5) of section 230 and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA. 3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat (iii) the Income Tax authorities concerned, and (iv) the Official Liquidator stating that representations, if any, to be made by them be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery at the office of the aforesaid statutory authorities as required by sub-rule(2) of Rule 8 of the Companies (CAA) Rules, 2016. The Applicant shall

file an affidavit confirming service of notice to the authorities within 30 days of date of service of notice.

18) The Application is allowed and disposed of in terms of the above directions.

-SD- -SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

Vaishali PS/Aarti LRA